

Teacher's Reference

Every answer in the Academy, in one file: the run sheets and all 43 knowledge-check answers, the four practice-return solution sets, and the final exam with its marking key.

Smart Tax IQ Tax Academy • tax year 2026 • Lashanda Carter

BEFORE YOU SEND THIS TO ANYONE

Do not. This one file contains the answer to every knowledge check, the worked solutions to all four practice returns, the December exam paper, and the retake paper.

A trainee who receives it by accident has the whole course. If you need to send somebody something, send the **Student Workbook** — it is the separate file, and it has no answers in it.

What is in here

FROM PAGE	PART	WHEN YOU NEED IT
3	Instructor Pack — 45pp	Every week. Run sheets, the explanations that land, what students get wrong, all 43 knowledge-check answers, and the early-warning table.
48	Practice Returns — solution sets — 12pp	Week 10. Worked answers for the four client packs, the trap each one is built around, and the mark weightings.
60	Final Exam — Paper A — 9pp	Print on exam day, 14–18 December. Not before.
69	Exam key and marking sheet — 18pp	After they have sat it. Includes the certification record and Paper B, the retake set.

IF YOU ONLY READ FOUR PAGES BEFORE THE FIRST CLASS

Read the Instructor Pack's opening section — how the ten weeks run, the shape of every session, and the marking rubric — then the Module 0 run sheet.

That is enough to teach week one properly. The rest you read the night before each module, which is how it is designed to be used.

A NOTE ON THE FIGURES

Five numbers in this course are confirmed each October rather than memorised: the due-diligence penalty, the 2027 PTIN fee, the standard mileage rate, Michigan's income tax rate with the Homestead limits, and the Detroit resident and non-resident rates.

They are listed on the verify page of the Instructor Pack. Confirm each before the module that teaches it. The course deliberately trains preparers to look figures up rather than recall them, and it is worth modelling that yourself in front of the class.

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Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.

Instructor Pack

Everything you need to stand up and teach the ten weeks: run sheets, the explanations that work, the mistakes students make every year, and every answer key in one place.

For the trainer only • not for circulation to students • prepared
September 2026 for the cohort starting 1 October 2026

Before you read anything else

This pack assumes you know the tax. It is not here to teach you Head of Household. It is here so that you can walk into a session having read four pages, and know exactly what you are going to say, in what order, what the class will get wrong, and what you are sending them away with.

Three things are true about this cohort that shape everything below:

- **Five people, two rooms.** Two train in the Detroit office, three train remotely. Every session has to work both ways, so nothing critical happens on a whiteboard that the remote three cannot see.
- **Most of them have never done a return.** Assume no prior knowledge and no tax vocabulary. When you use a term for the first time, say what it means in the same sentence.
- **The December exam is the gate.** Nobody sits in front of a client without passing it. That is not a threat to hold over them, it is the reason the ten weeks are structured the way they are — and it is why you need to know by Week 5, not Week 10, who is in trouble.

How the ten weeks run

WEEK	MODULE	LIVE SESSION	THEIR OWN TIME
1	0 · Professional Requirements & Responsibilities	2 h	PTIN registration, read the security plan
1–2	1 · The 1040, End to End	2 h × 2	Workbook M1, Assignment 1
3	2 · Filing Status	2.5 h	Workbook M2, Assignment 2
4–5	3 · The Earned Income Tax Credit	2.5 h × 2	Workbook M3, Assignment 3, Form 8867 drill
6	4 · Side Hustles and Schedule C	2 h	Workbook M4, Assignment 4
7	5 · Special Situations & the New Deductions	2 h	Workbook M5, Assignment 5
8	6 · Michigan & Detroit Returns	2.5 h	Workbook M6, Assignment 6
9	7 · The Software and the Client	3 h, hands-on	Three full software cycles
10	8 · Practice Lab	4 h, in two halves	Practice returns 1–4
11	Final exam	2 h, 14–18 December	Revision; retake window opens 7 days later

The shape of every session

Keep this the same every week. Adults learn faster when the container does not move.

0:00

Last week's assignment, back to them

Five minutes. Name the two things the group got right and the one thing most people missed. Never single out a person in front of the room.

0:05

Why this module exists

One or two sentences tying it to a client who walks through the door. Read the module's opening line from the course if you want it word for word.

0:10	Teach Forty minutes maximum before the first scenario. If you are still talking at minute 45, cut something.
0:50	Scenarios, in pairs They try it before you give them the answer. Remote students pair on a call; the office pair works aloud.
1:20	Debrief the traps This is where the learning actually happens. The notes in each module below are written for this slot.
1:40	Knowledge check Ten to fifteen minutes on the course page. Scores land on your dashboard as they submit.
1:55	Set the assignment Say the deadline out loud and put it in the group channel before you close the call.

RUNNING IT FOR THREE REMOTE STUDENTS

- Share your screen with the **course page** open, not a slide deck. They have the same page in front of them and can scroll back afterwards.
- Ask remote students by name. In a five-person group, silence from a remote student is invisible in a way it is not in a room.
- Everything you write on paper has to be typed or shown to camera. If you find yourself sketching on a desk pad, stop and put it in the chat instead.
- Record every session. Somebody will miss one, and a recording is cheaper than repeating yourself.

THE ONE THING NOT TO DO

Do not teach a module you have not re-read that week. The figures move every year and the Schedule 1-A deductions are new to everybody, you included. Fifteen minutes with the module and the figures sheet the night before is the difference between teaching it and reading it aloud.

Marking, and what “good” looks like

Everything a student does falls into one of three buckets, and they are weighted very differently.

WHAT	HOW IT IS MARKED	COUNTS TOWARD
Knowledge checks (8, on the course page)	Automatically. 70% to pass a module, unlimited retakes.	Progress. Not the final grade.
Assignments (6)	By you, against the rubric in each module below. Returned within three days or students stop doing them.	Readiness. Two weak assignments in a row is an intervention.
Practice returns (4)	By you, against the solution sets. Accuracy <i>and</i> the notes they wrote.	The strongest predictor of the exam. Treat a weak Lab 2 as a red flag.
Final exam	By you, against the marking sheet. 80% needed on Parts A and B, 70% on C and D.	The gate. Pass and they work the season.

THE RUBRIC BEHIND EVERY PIECE OF MARKED WORK

Four questions, in this order. A student can be technically right and still fail on these.

1. **Did they ask?** Is there evidence they gathered the facts rather than assumed them — a date, a number of months, a name?
2. **Did they write it down?** A right answer with no note is worth half. In February it is worth nothing.
3. **Is the answer right?**
4. **Would they say it to the client's face?** Particularly where the answer costs the client money.

Professional Requirements & Responsibilities

The session that sets the tone for the whole ten weeks. Get this one right and the rest of the course has authority behind it.

WHAT THEY LEAVE WITH

- A PTIN application submitted, or a firm date to submit it by
- The firm's security plan read and signed
- An honest sense of the stakes — without being frightened into silence

BEFORE THE SESSION

- Open **IRS.gov/Form8867** and check the current per-failure due-diligence penalty. It is inflation-adjusted annually. Write the number on the figures sheet before you teach it, and teach the structure rather than the number.
- Have the PTIN portal open in a tab, logged out, ready to screen-share.
- Have five printed copies of the security plan, and the PDF in the group channel for the remote three.
- Confirm the 2027 PTIN renewal fee — it has changed before.

0:00

Who is in the room

Go round. Name, what they did before this, why they applied. Three minutes each, no more. You are listening for who has done returns before and who has never seen a W-2.

0:15

What this job actually is

You prepare returns for people who are often owed money and do not know it. You are not an accountant and you are not an auditor. Set that boundary now.

0:25

PTIN — do it live

Screen-share the portal and walk the form. Then stop talking and let them start their own. This is the highest-completion way to get five PTINs.

0:45

Circular 230, the five that matter

Do not read the rulebook. Teach the five behaviours from the course page, one client story each.

1:05	What a careless return costs The centrepiece of this session. See the script below.
1:25	Client information Concrete rules, no abstraction. Then hand out the security plan.
1:40	Code of conduct — NEVER and ALWAYS Read both lists aloud. Ask each person to say which ALWAYS they think they will find hardest. Their answer tells you a lot.
1:50	Knowledge check 0 Five questions. Then set the PTIN deadline out loud.

Teach it like this

THE PENALTY — SAY IT THIS WAY

"There is a penalty for not doing your due diligence. Not for getting the tax wrong — for not doing the work of checking. And it does not apply once per return. It applies once per credit."

"Earned Income Credit. Child Tax Credit. American Opportunity Credit. Head of Household. Four separate penalties, and a single return can carry all four. Then the IRS can assess the firm on top, and can stop the firm e-filing altogether. One careless preparer can end everybody's season."

"I am not going to give you the dollar figure to memorise, because it changes every year and I would rather you never trusted a number you learned in a classroom. Look it up each October. What I want you to remember is the shape: *four times, per return, plus the firm.*"

WHY WE STOPPED TEACHING THE DOLLAR AMOUNT

Earlier versions of this course taught a fixed per-failure figure and a fixed maximum. Those were the amounts for returns filed in 2026. This cohort files in 2027, and the figure is indexed for inflation. Teaching a number that expires before they use it trains exactly the wrong instinct. Teach the structure; send them to the source for the amount.

If a student wants the current figure — good, that is the instinct we want — look it up together on IRS.gov rather than telling them.

GETTING THE STAKES RIGHT WITHOUT TERRIFYING THEM

Five people who have never done this are being told they could cost the firm its e-filing licence. Handled badly that produces preparers who hide mistakes. Land it like this:

“Everything I have just described happens when somebody does not ask, or asks and does not write it down. None of it happens because somebody made an honest mistake and put their hand up. Your first fifteen returns are checked by somebody experienced before they go anywhere. Asking for help is the correct professional response and it is never held against you here.”

Then say the sentence you most need them to believe: **“You will not be in trouble for reporting something fast. You will be for hiding it.”**

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They leave the PTIN until Week 3, then discover the paper form takes six weeks.	Do it live in the session. Chase on Wednesday, not Friday. A student without a PTIN by Week 2 is a student who will not be ready in January.
They think the firm's PTIN covers them.	Say it twice: it is issued to <i>you</i> , personally, and it goes on every return you touch.
They assume a 2026 PTIN is the one they need, because 2026 is the tax year.	PTINs run on the calendar year you are <i>working</i> in. They are preparing in 2027.
They treat "due diligence" as a form at the end.	Every time the phrase comes up for the next ten weeks, add "... which is the questions you ask all the way through." Repetition is the teaching method here.
A student with prior experience says "the last place I worked did X."	Do not debate it in front of the group. "That may be how they did it. Here is how we do it, and here is why." Follow up privately — that student is either your strongest or your biggest risk.

Knowledge check 0 — answer key

Question 1

A client offers you 10% of their refund as your fee. What do you do?

B – Decline – a fee can never be based on the refund

Contingent fees based on refund size are prohibited.

Question 2

You're preparing a return in January 2027. Which year's PTIN do you need?

C – 2027 – the year you're preparing it in

PTINs run on the calendar year you are working in, not the tax year of the return.

Question 3

Due diligence failed on EITC, the Child Tax Credit and Head of Household on one return. What's the exposure?

C – \$1,950 – and the firm can be assessed too

\$650 per failure, three failures. The firm carries exposure as well.

Question 4

You only help with part of a return and don't sign it. Do you need a PTIN?

A – Yes – assisting for compensation requires one

Preparing or assisting in preparing for compensation requires a PTIN.

Question 5

You email a client's return from your personal Gmail because the office system is slow. What happened?

B – A data security breach that must be reported immediately

Client data never travels on personal accounts. Report it straight away.

ANSWER KEY NOTE – QUESTION 3

The stored answer for question 3 uses the amounts that applied to returns filed in 2026. The *structure* it is testing is what matters: three separate failures, three separate penalties, and the firm carries exposure too. Mark on the structure. If a student challenges the number, they are right to, and you should say so.

ASSIGNMENT 1 – SET IT OUT LOUD

Due Friday of Week 1. Register for a 2027 PTIN and send the confirmation to your trainer. Read and sign the firm's security plan. Write three sentences on what you would do if you sent a client's return to the wrong email address.

Marking: the three sentences are the real assignment. You are looking for “tell my trainer immediately” in the first sentence. Anything that starts with recalling the email or deleting it is a coaching conversation this week, not Week 9.

The 1040, End to End

The scaffolding module. Everything for the next nine weeks hangs off the five movements, so spend the time and do not rush to the W-2.

BEFORE THE SESSION

- Print five blank Form 1040s, current year. Paper, in their hands. This matters more than it sounds — the form stops being abstract the moment they hold one.
- Post the PDF for the remote three and confirm they have printed it before you start.
- Have two sample W-2s ready: one simple, one with a 401(k) so Box 1 and Box 3 differ.
- Check the standard deduction figures on the figures sheet against IRS Revenue Procedure 2025-32.

0:00

Hand out the 1040

Let them look at it for a full minute before you say anything. Then: "By December this will look ordinary. Today it is meant to look like a lot."

0:05

The five movements

Teach the shape, not the line numbers. Write the five on screen and leave them up for the whole session.

0:25

Walk the paper form

Point at each movement on the actual 1040. Who you are. What came in. What comes off. What's owed. What's been paid.

0:45

The W-2, box by box

Only the boxes that matter: 1, 2, 3 & 5, 12, 15-17, 18-20. Do not cover all twenty.

1:05

Why Box 1 and Box 3 differ

The set piece of this module. Script below.

1:20

Who has to file — and who should anyway

The most important five minutes in Week 1. Script below.

1:35

Scenario — the \$38,000 / \$41,500 client

Pairs, then debrief.

BOX 1 VERSUS BOX 3 – THE EXPLANATION THAT LANDS

"Her pay slip says one number. Box 1 says another. She wants to know which is her real salary, and she is slightly suspicious that somebody is lying to her."

"Both are real. They are measuring different things. Box 3 is what she earned. Box 1 is what she gets taxed on. The gap is the money she put into her retirement plan before the tax was worked out."

"Here is the bit that surprises people: Social Security tax is still charged on the full amount. So the retirement money escapes income tax now, and does not escape Social Security tax at all. That is why Box 3 did not drop."

Then give them the client-facing version, and make them say it back: *"You earned \$41,500. You saved \$3,500 into your retirement plan before tax, so you are only taxed on \$38,000."*

THE CLIENT WHO DOES NOT HAVE TO FILE

Teach this as a person, not a rule.

"A woman earns \$9,400 and has two children. She is not required to file a return. If you tell her that and stop, you have technically answered her question and cost her several thousand dollars, because refundable credits and withheld tax only come back if a return is filed."

"You will meet this client. Probably in your first fortnight. The answer is never just 'you don't have to.'"

Ask the group directly: *"Who here has a family member this describes?"* Usually two hands go up, and the module stops being theoretical.

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They try to memorise line numbers.	Stop them the first time. "The software knows the line numbers. You need to know which of the five movements this belongs to."
They ignore Boxes 18–20.	This is Detroit. A missed local box is a missed city return. Flag it here even though Module 6 is six weeks away.
They think the standard deduction is a choice most people agonise over.	Itemising is rarer than they expect for our client base. Say so, so they stop asking.
Confident students race ahead to credits.	Hold the line: "That is Movement Four, and we are still on Two." Using the frame to redirect teaches the frame.

Knowledge check 1 — answer key

Question 1

Which W-2 boxes tell you a Detroit city return may be needed?

B – 18, 19 and 20

18–20 are the local boxes. 15–17 are state.

Question 2

A client earned \$9,400 and has two children. What do you tell her?

C – She isn't required to, but should – she may be owed refundable credits

Not required, but refundable credits are only paid out if a return is filed.

Question 3

What is the TY2026 standard deduction for Head of Household?

A – \$24,150

\$24,150 — between Single and Married filing jointly.

Question 4

Box 1 is lower than Box 3. Give the most common reason.

B – Pre-tax retirement contributions reduce Box 1 but not Box 3

401(k) contributions reduce taxable wages but not Social Security wages.

Question 5

Where does a refundable credit sit in the five movements?

C – With payments – it can create a refund beyond tax paid

Refundable credits are treated like payments, which is why they can produce a refund even when no tax was owed.

ASSIGNMENT 2

Due Friday of Week 2. Workbook Module 1, plus: using the sample W-2 provided, write down which of the five movements each of Boxes 1, 2, 12, 17 and 19 belongs to, and one sentence explaining Box 19 to a client who has never heard of city tax.

Marking: the Box 19 sentence is what you are actually reading. Plain English, no jargon, no apology. If it is technically correct but unintelligible, send it back.

Filing Status

The highest-value two minutes of any client interview, and a due-diligence item in its own right. This module carries 30% of the final exam and needs 80% to pass it.

BEFORE THE SESSION

- Re-read the four scenarios on the course page. You will be running all four.
- Have the three Head of Household tests written somewhere permanent and visible for the whole session.
- Print the four scenarios on separate slips for the office pair so they cannot read ahead.

0:00	31 December decides everything Open with it. It settles about a third of every filing status question they will ever face.
0:10	The three HOH tests All three. Not two out of three. Say the phrase, then make the group say it.
0:25	Cost of keeping up a home The counts / doesn't-count list. Then the dependent-parent exception, which they will otherwise miss all season.
0:40	"Considered unmarried" Five conditions, every one required. The six-month rule is the one to slow down on.
1:00	Scenario 1 — Denise Pairs, five minutes, then debrief.
1:15	Scenario 2 — Marcus Fast. Most will get it.
1:25	Scenario 3 — Angela The hard one. Give it ten minutes and expect a wrong answer from at least half the group.

1:45

Scenario 4 — Ruth

Then the EITC screening point, which is the real lesson.

2:00

Why this is a due-diligence item

Form 8867 covers HOH too. Same penalty as the credits.

2:15

Knowledge check 2, set Assignment 3

THE SIX-MONTH RULE — DO THIS ON SCREEN

Draw a twelve-month line. Mark the last six months. Now put Angela's husband's departure — 12 September — on it, and let the group see that he was in the home in July and August.

"She is certain. She is not lying to you. She is answering the question 'has he gone?' and the test is a completely different question: 'was he in the home at any point in the last six months of the year?' He was. Married Filing Separately."

"So you do not ask 'are you separated?' You ask 'what date did he move out?' And you write the date down."

This one drawing is worth more than twenty minutes of explanation. Do it every year.

SCENARIO DEBRIEF NOTES

Denise → Single. The trap is seeing “paid every bill, supported another adult” and reaching for HOH. Paying is test 2. Test 3 asks for a *relative*. Press the group: “which test failed?” until somebody says test 3 specifically.

Marcus → Head of Household. Married for eleven and a half months, unmarried for the year. If someone says “but he was married most of the year”, that is the whole point of the 31 December rule and worth two extra minutes.

Angela → Married Filing Separately. The one they fail. Do not rescue them — let the group argue it out, then walk the timeline. Finish on: her real options are MFS, or MFJ if he will sign.

Ruth → Head of Household. Easy answer, important follow-through. A grandchild is a descendant, so the relationship works. Then: “*What else should you be screening Ruth for?*” EITC and the Child Tax Credit. Grandparents raising grandchildren are routinely owed far more than they claim, because nobody asks.

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
“She takes care of him, so she's Head of Household.”	Three tests, all required. Make them name which test they are relying on, every single time.
They accept the client's own statement of status.	“The client told me” is not due diligence. The questions are: who lived in the home, for how many months, and who paid. Recorded.
They round months up.	More than half the year means more than six months. Seven months is fine. “About half” is not.
They forget the dependent-parent exception.	A parent in a care home can still make your client HOH if the client pays more than half the cost of the parent's home. Rare, but it is real money when it lands.

Knowledge check 2 — answer key

Question 1

On what date is marital status determined?

C — 31 December

The last day of the tax year, always.

Question 2

Which qualifying person does not have to live with the taxpayer?

B — A dependent parent

A dependent parent — provided the client pays more than half the cost of the parent's home.

Question 3

A client's spouse moved out in July. Can she be "considered unmarried"?

A — No — the spouse was in the home during the last six months

The spouse must not have lived there at any point in the last six months. July is inside that window.

Question 4

Is food eaten in the home part of the cost of keeping up a home?

B — Yes — but clothing, education and medical care don't

Food eaten in the home counts. Clothing, education and medical care do not.

Question 5

Does Form 8867 apply to Head of Household?

C — Yes — and the \$650 penalty applies

HOH is a due-diligence item in its own right.

Question 6

An unrelated partner lives with your client, who supports them entirely. Does that make your client Head of Household?

A – No – a qualifying person must be a relative

Someone who qualifies only by living in the home never supports HOH status.

ASSIGNMENT 3

Due Friday of Week 3. Workbook Module 2, plus: write the five intake questions you would ask a new client to establish filing status, in the order you would ask them. Then write the note you would put on the file for Angela's return.

Marking: the question order matters. "What date did your spouse move out?" must appear as a date question, not "are you separated?". The file note must contain a date, what the client said, and what you saw. Anything vaguer goes back.

The Earned Income Tax Credit

The largest credit most of our clients will ever claim, the most audited item on the return, and the one that carries the penalty. Two weeks, and do not compress it.

BEFORE THE SESSION

- Verify every EITC figure on the figures sheet against the IRS inflation adjustments for tax year 2026. Do not teach from last year's sheet.
- Print Form 8867 — five copies, and the PDF in the channel.
- Have a real, anonymised file note from last season ready to show. Nothing teaches note-writing like a note that worked.

SPLITTING THE TWO WEEKS

- **Week 4:** what earned means, the three disqualifiers, the four tests, what it is worth. Scenarios 1-3.
- **Week 5:** tie-breakers, the four due-diligence duties, Form 8867 line by line, note-writing, and Scenario 4 — which is the most important fifteen minutes of the whole course.

W4 0:00

What “earned” means

Worked for it. Then the not-list: unemployment, Social Security, child support, alimony, pensions, investment income.

W4 0:15

The client whose whole year was unemployment

No EITC. Have them practise saying it. It is a hard conversation and far better at your desk than in an IRS letter eight months later.

W4 0:25

Three things that kill it outright

Missing valid SSN. Investment income over the limit — by one dollar and it is all gone, no tapering. Client is themselves someone's qualifying child.

W4 0:40

R-A-R-J

Relationship, Age, Residency, Joint return. Drill the mnemonic until they can say all four cold.

W4 1:05

What it's worth

Walk the table. Emphasise the cliff edges.

W4 1:20

Scenarios 1–3

Keisha/Terrance, Carl's son, Yolanda's nephew.

W4 2:10

Knowledge check 3

Note: seven questions, the longest check in the course.

W5 0:00

Tie-breakers

Parent beats non-parent, then nights, then income. In that order.

W5 0:20

The four due-diligence duties

8867, worksheets, knowledge, records.

W5 0:40

Form 8867, line by line

On paper, together. Do not let them see it for the first time in January.

W5 1:10

Notes that hold up

The set piece. Script below.

W5 1:30

Scenario 4 — the cash cleaning client

Thirty minutes. This is the one.

W5 2:10

Set Assignment 4

NOTE-WRITING — TEACH IT BY TIMING THEM

Put this on screen:

"14 Feb — asked how many months D. lived with client in 2026. Client said Jan–Aug. Produced school enrolment letter showing client's address. Copy kept."

Then say: *"That took fifteen seconds to write and it settles the whole question two years from now, when you will not remember this client at all."*

Now actually time them. Give the group a fact pattern and sixty seconds to write the note. Read two aloud — anonymously — and mark them against four things: **date, what you asked, what they said, what you saw**. A note missing any of the four is not a note.

SCENARIO 4 – RUN IT PROPERLY, IT IS THE WHOLE MODULE

\$13,800 of cash cleaning income, no expenses at all, two qualifying children, the figure landing exactly where the credit peaks, and no records of any kind.

Do not let them jump to “decline”. Walk it:

1. **What is wrong with the picture?** A cleaning business with zero expenses is not how that work is done. There are always supplies, usually travel.
2. **What must you do?** Make reasonable inquiries and record them. How many clients? How often? What do you buy? How do you get there? How did you arrive at that figure?
3. **Then what?** Credible answers → prepare the return and keep the notes. Not credible → you do not sign it.

Finish on this and let it sit: *“That is an uncomfortable thing to do, and it is the job. This exact pattern is the most common due-diligence penalty case there is. If you remember one scenario from ten weeks, make it this one.”*

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They jump to income on a tie-breaker because it is the easier number to get.	Nights first. Income only when the nights are equal. Ask “what is rule two?” every time somebody skips it.
They do not ask the student question.	Carl's son is the drill. “Was he a full-time student for at least five months?” is worth thousands of dollars and takes four seconds.
They round five months to “about half the year”.	Yolanda's nephew. More than half means more than six. Write down the month they arrived.
They treat due diligence as paperwork rather than questions.	Duty 3 — knowledge — is where preparers actually get caught. Keep returning to “does this story hold together?”
They are frightened of the investment income limit and over-check it.	Rare in our client base. Check it, do not agonise over it. The time belongs to residency and relationship.

Knowledge check 3 — answer key

Question 1

What do the four qualifying child tests stand for?

B – Relationship, Age, Residency, Joint return

R-A-R-J.

Question 2

Is unemployment compensation earned income for EITC?

C – No – it isn't earned

Taxable, but not earned. No EITC comes from it.

Question 3

Two parents; the child lived with each exactly the same number of nights. Who claims?

A – The parent with the higher income

Nights first; higher income only as the tie-break. The credit is never split.

Question 4

A client's investment income is \$12,240. What happens to the EITC?

B – It's disallowed entirely

Over the \$12,200 limit by any amount and the whole credit goes.

Question 5

A child lived with the taxpayer from 1 February to 31 December. Does residency pass?

C – Yes – eleven months is more than half the year

The test is more than half the year, not the whole year.

Question 6

How long must due-diligence records be kept?

A – Three years

Three years.

Question 7

A client's figures look inconsistent but she insists they're right. What does the knowledge requirement oblige you to do?

B – Make reasonable inquiries and record the questions and answers

Ask, document, and decline to sign if the answers aren't credible.

ASSIGNMENT 4

Due Friday of Week 5. Workbook Module 3, plus: complete Form 8867 for the Keisha scenario, and write three file notes — one for each of Scenarios 1, 3 and 4.

Marking: mark the notes before the form. Date, asked, said, saw. A student whose 8867 is perfect and whose notes are vague is the student most likely to generate a penalty, and this is the week to tell them so.

Side Hustles and Schedule C

Where the EITC and self-employment tax collide, and where a polite, plausible client will ask a preparer to do something they must not do.

0:00	The form the money arrived on decides nothing 1099-NEC, 1099-K, app payout, cheque, cash in an envelope. If the work was a business it is a Schedule C.
0:15	Cash income Reportable whether or not anyone issued a form. Clients genuinely do not know this. Practise saying it plainly and without judgement — get two students to say it aloud.
0:30	Ordinary and necessary Supplies, mileage, phone, share of home costs, contract labour, licences.
0:45	Mileage The big one and the one that gets challenged. They need a log. Commuting — home to the first job — is not deductible.
1:00	Self-employment tax Both halves. The client who cleared \$9,000 and expected a refund and owes instead. Warn them, and start the estimated-payments conversation.
1:20	Where this meets the EITC The set piece. Script below.
1:35	Scenario — the rideshare client Role-play it, do not discuss it.
1:50	Knowledge check 4, set Assignment 5

THE COLLISION — AND HOW TO REFUSE

Teach the mechanism first, because they have to understand why the client is asking:

“Net profit from self-employment is earned income for the EITC. So fewer expenses means more profit, which can mean a bigger credit. Clients work this out on their own. Some of them will ask you directly to leave the mileage off.”

Then role-play it. You play the client. Be polite, plausible and persistent — that is what it is actually like. Make each student give you the refusal out loud. Give them the words:

“I can't leave off expenses you actually had. The return has to show what really happened. If the IRS looks at this — and they do look at exactly this — it would be treated as a false return, and that lands on both of us.”

Then the part students forget: **give him something real**. He is entitled to those 6,100 miles, and the preparer's job is to make sure his log is good enough to survive a challenge. Refusing is half the answer; helping is the other half.

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They think no 1099 means no income to report.	Say it three times across the session. Cash counts.
They accept a “no expenses” Schedule C.	Straight back to Module 3, Scenario 4. Zero expenses is a question, not a data entry.
They deduct commuting.	Home to the first job of the day is not business mileage. Draw the route.
They soften the refusal until it is not a refusal.	In the role-play, keep pushing until the student says no cleanly. A hedged no is a yes in February.

Knowledge check 4 — answer key

Question 1

A client was paid \$2,000 cash and no form was issued. Is it reportable?

A — Yes

Income is reportable regardless of paperwork.

Question 2

Is the drive from home to the first job of the day deductible?

B — No — that's commuting

Commuting is never deductible.

Question 3

Why does a self-employed client pay more payroll-type tax than an employee on the same income?

C — They pay both the employee and the employer halves

No employer to pay the other half.

Question 4

A client asks you to omit expenses so their EITC is larger. What do you do?

B — Decline and explain why

Report actual expenses. Omitting them is a false return.

Question 5

Net profit from self-employment — is it earned income for EITC?

A — Yes

Yes — which is exactly why the expense question matters so much.

ASSIGNMENT 5

Due Friday of Week 6. Workbook Module 4, plus: a client brings you app payout summaries totalling \$11,240, no log, and says "I drove a lot, just put something down." Write what you would ask, what you could honestly reconstruct, what you would have to leave out, and the file note.

Marking: you want to see reconstruction attempted honestly and limits stated plainly. A student who invents a mileage figure has failed this assignment regardless of everything else on the page.

Special Situations & the New Deductions

Veterans, retirees, the unemployed, and four deductions that nobody anywhere has years of experience with. Our clients are unusually likely to qualify.

BEFORE THE SESSION — THIS ONE IS DIFFERENT

Schedule 1-A is new. Check every figure and every phase-out threshold against the current Schedule 1-A instructions before you teach it, including the car loan interest cap, which was not in earlier versions of this course. If the instructions are not yet released for TY2026, say so in the session rather than teaching the 2025 amounts as though they are settled.

0:00

Veterans' benefits

VA disability: no. VA pension: no. GI Bill: no. Military retirement pay: yes. Clients get this wrong in both directions.

0:15

Ask which they receive

Not “do you get VA benefits?” — the answer to that is useless. Ask which ones, by name.

0:25

Social Security

Taxable on a sliding scale up to 85%. The retiree who takes a big IRA withdrawal and gets surprised twice.

0:40

Unemployment

Fully taxable, arrives on a 1099-G, withholding is optional and most decline. So they often owe. And from Module 3: not earned income, so no EITC.

0:55

Schedule 1-A — the four

Tips, overtime, senior, car loan interest. Walk the table and the phase-outs.

1:20

Car loan interest — Detroit matters

Script below.

1:35

The four things to remember

Tips must have been reported. Overtime means the premium. Married clients must file jointly. Ask every single client.

1:50

Knowledge check 5, set Assignment 6

CAR LOAN INTEREST – WHY THIS ONE IS OURS

"There is a deduction for interest on a car loan. New vehicles only, assembled in the United States, bought between 2025 and 2028, and you can claim it whether or not you itemise."

"Read that again. New. American-assembled. This is Detroit. A meaningful share of the people who walk through our door financed a vehicle built by a company their family has worked for. They will not mention it, because nobody has ever asked them about their car loan on a tax return before."

"So it goes on the intake sheet. Every client, every time."

Check the current cap and phase-out before you teach the numbers.

THE HONEST FRAMING FOR A BRAND-NEW FORM

Say this out loud in the session. It changes how they behave for the rest of their career:

"No preparer anywhere has years of experience with these. Not me either. Which means you start level with everybody else, and it also means we read the instructions rather than rely on what we think we remember."

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They report VA disability as income.	Costs the client money and looks incompetent. Drill the four-row table until it is automatic.
They miss military retirement pay.	The opposite error, and the more dangerous one. Ask which benefits, by name.
They treat all overtime pay as the overtime deduction.	It is the <i>premium</i> , not every dollar earned during overtime hours.
They forget married clients must file jointly for tips, overtime and the senior deduction.	This interacts with Module 2. A client who files MFS loses these.
They wait for clients to volunteer tips or a car loan.	People do not volunteer information they do not know is worth money. It goes on the intake sheet.

Knowledge check 5 — answer key

Question 1

Is VA disability compensation taxable?

B — No

Not taxable, and not reported on the return.

Question 2

Is military retirement pay taxable?

A — Yes

Taxable — unlike VA disability compensation.

Question 3

A married tipped worker wants the tips deduction but files separately. Can she claim it?

C — No — joint filing is required

Married clients must file jointly for tips, overtime and the senior deduction.

Question 4

What's the most of someone's Social Security that can be taxable?

B – 85%

85% is the ceiling.

Question 5

A client's cash tips were never reported to her employer. Can she claim the tips deduction on them?

A – No – tips must have been reported

Reported tips only.

ASSIGNMENT 6

Due Friday of Week 7. Workbook Module 5, plus: write the Schedule 1-A screening questions you would add to the intake sheet — no more than five — phrased the way you would actually say them to a client.

Marking: phrasing is the assignment. "Do you have qualified overtime compensation?" is a failed question. "Do you get paid extra for working overtime, and does it show separately on your pay slip?" is a good one.

Michigan & Detroit Returns

A perfect federal return is half a job. Almost every client also needs a Michigan return, and most need a Detroit one.

BEFORE THE SESSION

- Confirm the current Michigan income tax rate. It has moved in recent years — do not teach it from memory.
- Confirm the Homestead Property Tax Credit income and taxable-value limits for TY2026.
- Confirm that Detroit Forms 5118 / 5119 / 5120 are unchanged, and check the resident and non-resident rates.
- Print one MI-1040 and one of each Detroit form.

0:00

Michigan starts from federal AGI

Additions, subtractions, flat rate. Check the rate on the figures sheet in front of them — model the behaviour.

0:20

Walk an MI-1040 from a finished federal return

Use the Module 1 sample so nothing is new except the state form.

0:50

The Homestead Property Tax Credit

The set piece. Script below.

1:15

Detroit — three forms, one question

Where did they live. 5118 all year in, 5119 outside but worked in, 5120 moved.

1:35

The trap

No city tax withheld does not mean no city return is due. A Detroit resident whose employer did not withhold still owes — with interest if nobody notices.

1:50

Scenario — Andre, the part-year resident

Pairs, then debrief.

2:10

Knowledge check 6

THE HOMESTEAD CREDIT – THE SINGLE MOST COMMONLY MISSED ITEM

"It is a refundable Michigan credit for people whose property taxes are high relative to their income. And here is the part people miss: *renters qualify too*. A portion of the rent is treated as property tax."

"This is the single most commonly missed item for a Detroit client on a modest income, and it is real money. The client will never raise it, because they have no idea it exists. You have to."

Then give them the exact intake wording and make them write it down: **"Did you rent or own in 2026, and how much did you pay?"**

ANDRE DEBRIEF

Form 5120 — part-year resident. Detroit resident January to May, taxed on everything at the resident rate. Non-resident June to December, taxed only on Detroit earnings at the lower rate.

His employer withheld at the resident rate all year, so he has very likely overpaid and is owed a city refund.

The trap: filing 5118 for the whole year because the withholding looks like a full-year resident. Ask when he moved. Otherwise he loses money and never finds out.

Push the group on the general principle: *the withholding tells you what the employer believed, not what is true.*

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They finish the federal return and think they are done.	Half a job. Build the habit of asking “which three returns does this client need?” before starting anything.
They read the W-2's city withholding as the answer to residency.	Andre. Withholding is evidence, not a conclusion.
They skip the Homestead credit for renters.	Renters qualify. On the intake sheet, every client.
No city withholding, so they file no city return.	The most expensive habit on this page. The liability exists regardless.

Knowledge check 6 — answer key

Question 1

A client lives in Warren and works downtown. Which Detroit form?

B — 5119 — non-resident

Lives outside, works inside — non-resident.

Question 2

Can a renter claim the Michigan Homestead Property Tax Credit?

A — Yes

Renters qualify — part of the rent is treated as property tax.

Question 3

A Detroit resident's W-2 shows no city withholding. Is a city return due?

C — Yes — residents owe city tax either way

Withholding and liability are different things.

Question 4

A client moved out of Detroit in June. Which form?

B – 5120 – part-year resident

Moved during the year — part-year.

Question 5

Which intake question catches the Homestead credit?

A – "Did you rent or own, and how much did you pay?"

Ask it of every client, every time.

The Software and the Client

Knowing the law is half of it. This is the other half, and it is the module that cannot be taught from a page.

THIS MODULE NEEDS LIVE SOFTWARE — ARRANGE IT NOW, NOT IN WEEK 9

Every student needs their own login to our tax software before this session, and the three remote students need it working on their own machines. Test each login the week before. A session where two people cannot log in is a session wasted, and Week 9 is the last week before the Practice Lab.

Screen paths and menu names in the workbook are written against our current version. Walk them yourself once before you teach, and correct anything that has moved.

0:00

Full cycle, demonstrated once

New client, enter data, attach forms, clear diagnostics, transmit, retrieve the acknowledgement. Talk while you do it.

0:30

Full cycle, all five of them, together

You drive nothing. You answer questions. Expect this to take longer than you think.

1:15

Full cycle, on their own

Second time, different client data, no help unless asked.

1:45

Rejections

Name/SSN mismatch, dependant already claimed, missing 1095-A, prior-year AGI mismatch.

2:05

The sentence they will need most

Script below. Do not skip this — it is the hardest thing in the module.

2:25

The intake interview

Seven questions, same every time, three minutes, catches nearly everything.

2:45

Never promise a refund date

The exact wording. Then knowledge check 7.

"SOMEONE ELSE HAS ALREADY CLAIMED YOUR DAUGHTER."

This is the hardest sentence in the job and most new preparers say it badly the first time, usually by apologising or by implying the client did something wrong.

Make every student say it out loud, to you, at least twice. Then teach the sequence that follows:

1. Say it plainly and calmly. Do not soften it into confusion.
2. Explain the rules from Module 3 — the tie-breakers exist precisely for this.
3. Find out who else may have claimed. Ask; do not speculate.
4. If the client is entitled, we file on paper and the IRS resolves it.
5. Do not accuse anyone. Do not guess. Get the trainer if it gets difficult.

Often this is the first a parent knows of it, and it lands hard. Tell the students that, so they are not surprised by the reaction.

NEVER PROMISE A REFUND DATE

Give them the sentence verbatim and make them memorise it:

"The IRS usually issues most refunds within 21 days of accepting the return, and returns with certain credits are held a bit longer."

Then the reason: *"Promise a date and you own every day it is late. And the client will call you, not the IRS."*

Where they go wrong

WHAT HAPPENS	WHAT TO DO ABOUT IT
They clear diagnostics by dismissing them.	Every diagnostic gets read. Watch for the student who clicks through fast — that is the habit that transmits a broken return.
They react to whatever paperwork is on the desk instead of running the interview.	Same seven questions, every client, every time. Make it mechanical now so it survives a busy February.
They give a refund date to be helpful.	The most common well-meant mistake in this job. Drill the sentence.
They go quiet when a rejection appears.	A rejection is routine. Practise the explanation until it sounds routine when they say it.

Knowledge check 7 — answer key

Question 1

A client asks exactly when their refund will arrive. What do you say?

C – The IRS's typical timeframe, noting credit-related holds – never a date

Never a specific date.

Question 2

The return rejects because the dependant is already claimed. First step?

B – Check your client is genuinely entitled, explain the rules, then file on paper if so

Verify entitlement, explain, and file on paper if your client is right.

Question 3

Which question catches unreported side income?

A – "Any income without a form? Cash work, side jobs, apps?"

Ask about the money, not the paperwork — clients don't think of app payouts as "a business".

Question 4

A client has Marketplace health coverage but didn't bring the form. What's missing?

C – 1095-A

Without it the return can't be completed correctly and will reject.

Question 5

You're not confident about a return in front of you. What's the right move?

B – Escalate to an experienced preparer

Escalating is correct professional behaviour, not failure.

Practice Lab

Four complete returns built from messy piles of paper, the way they actually arrive. Then the difficult interview. Then the final.

HOW TO RUN IT

Hand over the document packs and step back. The instinct to rescue is strong and you have to resist it — this is the last safe place for them to get something wrong. Circulate, watch what they do *first*, and take notes for the debrief rather than correcting in the moment.

What to watch for, in order of importance:

- 1. Do they run the intake questions before touching the software?
- 2. Do they write notes as they go, or reconstruct them at the end?
- 3. Do they notice what is *missing* from the pack?
- 4. Do they ask for help at the right moment, or too late?

LAB	THE CLIENT	WHAT IT IS REALLY TESTING
1	Single parent, two children, one W-2 plus rideshare income. Detroit resident, renting.	The full stack — federal, state, city, EITC, Child Tax Credit, Homestead. Whether they remember the Homestead credit for a renter.
2	Separated client, spouse left in October, one child, disputed filing status.	Whether they ask for the date, and whether they are willing to say Married Filing Separately to a client who does not want to hear it.
3	Retired veteran, 68. VA disability, military retirement, Social Security, part-time tipped job.	Module 5 in full. Whether they exclude what should be excluded, include what should be included, and screen for Schedule 1-A.
4	Grandparent raising two grandchildren, moved out of Detroit in July, small cash cleaning income, partial records.	Everything at once, plus judgement. Part-year city return, relationship test, and an honest reconstruction of incomplete records.

THE DIFFICULT INTERVIEW – YOU PLAY THE CLIENT

Play someone who wants a bigger refund, is vague about who lived where, and mentions that “the last place just put it through.” Be likeable. Be persistent. That is what it is actually like, and a hostile role-play teaches nothing.

Assess three things, all of which matter equally:

- Did they ask the right questions?
- Did they write the answers down?
- Were they willing to say no?

A student who gets the tax right and cannot say no is not ready. Tell them that now, while there is still time to work on it.

CLOSE THE TEN WEEKS WITH THIS

Say all of it, in this order:

- In your first season you do not handle these alone: IRS notices, identity theft, unfiled prior-year returns, anything involving a company or partnership, and anything at all you are unsure about.
- Your first fifteen returns are reviewed before they are transmitted, and review continues until two batches in a row come back clean.
- **This is support, not suspicion. Everyone here went through it.**
- The exam is two hours, between 14 and 18 December. You may use the figures sheet and the forms — that is what you will have in January.
- One retake, at least seven days later, different scenarios. Most people who need it pass it.

Knowing who is in trouble, early

The single most useful thing you can do as an instructor is notice in Week 5 what would otherwise become obvious in Week 11.

The signals, in the order they appear

WEEK	SIGNAL	WHAT IT USUALLY MEANS	DO THIS
1	No PTIN submitted by Friday.	Not a knowledge problem. Either they have not understood it is compulsory, or something in their life is in the way.	Call them. Not a message — a call.
2–3	Assignments arrive but are thin.	They are consuming the course and not doing the work. This never self-corrects.	Return the assignment with one specific thing to redo. Set a 48-hour deadline.
3	Knowledge check 2 still red on the dashboard at the end of the week.	Retakes are unlimited, so a score that stays under 70% for a week means they have stopped trying rather than that they failed once. Filing Status predicts the exam almost perfectly — Part A needs 80%.	Thirty minutes one-to-one on the three tests. Do not wait.
4–5	Right answers, no file notes.	The highest-risk student profile there is. Technically capable, and the one most likely to generate a penalty.	Be blunt. "Your tax is good. Your notes would not defend this return. That is the part that gets people fined."
6	Softens a refusal in the Schedule C role-play.	They will say yes to a client in February.	Run it again, one-to-one, until the no is clean.
9	Cannot complete a software cycle unaided.	Usually not a software problem — they are unsure of the tax and the software is exposing it.	Find out which module they are actually stuck on, and reteach that.
10	Gets the tax right in Lab 2 but files Head of Household anyway.	They know the rule and will not apply it against a client's wishes.	This is a pass/fail conversation about the job, and it has to happen before the exam.

USING THE COHORT DASHBOARD

The online course records every knowledge check score against the student who sat it. Open the course, click **Instructor view** in the top bar, and you get a live grid: one row per student, one column per module, the score, and when they were last active.

- **A grey dash** means they have not attempted the check. Chase it.
- **Red** means attempted and under 70%. Retakes are unlimited and encouraged, so red that stays red for a week is the signal, not red on the day.
- **Last seen** is the most underrated column on the grid. A student who has not opened the course in nine days has usually already dropped out and not told you.

Students see only their own progress. Nobody can see anybody else's scores.

The completion checklist

A student is cleared to work with clients when every one of these is true. Not most of them.

- ☐ **2027 PTIN issued** — confirmation on file
- ☐ **Firm security plan** read and signed
- ☐ **All eight knowledge checks passed** at 70% or better
- ☐ **All six assignments submitted** and marked acceptable
- ☐ **All four practice returns completed**, with file notes
- ☐ **Difficult interview assessed** — asked, recorded, and said no
- ☐ **Final exam passed** — 80% Part A, 80% Part B, 70% Part C, 70% Part D
- ☐ **Three full software cycles** completed unaided
- ☐ **Escalation list acknowledged** — they can name what they do not handle alone
- ☐ **Review arrangement understood** — first fifteen returns reviewed, until two clean batches

WHAT TO VERIFY BEFORE 1 OCTOBER

These were correct when this pack was written and need confirming against source before the module that teaches them:

1. The current per-failure due-diligence penalty — IRS.gov/Form8867 (Module 0)
2. The 2027 PTIN renewal fee — renewal opens around mid-October (Module 0)
3. Whether tips, overtime and senior deduction amounts are inflation-adjusted for TY2026, and the car loan interest cap — Schedule 1-A instructions (Module 5)
4. Michigan's income tax rate, the Homestead credit limits, and that Forms 5118 / 5119 / 5120 are unchanged (Module 6)
5. The standard mileage rate for TY2026 (Module 4)

None of these block the October start. All of them should be settled before the module that uses them.

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Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.

Practice Returns — Solution Sets

Worked answers, the traps each pack is built around, and what to mark. Instructor copy.

Module 8 • Week 10 • not for circulation

BEFORE YOU MARK ANYTHING

These packs are designed so that a student can get every number right and still fail the lab. The marks are weighted as follows, and they are not negotiable:

WHAT	MARKS
Intake notes — evidence they asked	25
Filing status, and naming the test that decided it	20
Return accuracy — federal, Michigan, Detroit	30
File notes — date, asked, said, saw	15
What was missing, and what they asked for	10

A student scoring well on accuracy and badly on notes is the profile that generates penalties. Tell them so, in those words.

ON THE FIGURES THAT ARE NOT SETTLED YET

Two numbers in these solutions depend on figures confirmed each October: the **standard mileage rate** for TY2026 and the **Michigan income tax rate**. Where they appear, the solution gives the method and then a worked illustration at an assumed rate, clearly marked. Substitute the confirmed figure before you mark, and expect the students' arithmetic to differ from the illustration.

Tamika Brooks

The answers

ITEM	ANSWER	WHY
Filing status	Head of Household	Unmarried, paid more than half the cost of the home (\$10,200 rent, heat and water included), and two qualifying children lived with her all year. All three tests. Make them name test 3 specifically.
Returns needed	Federal 1040, MI-1040, Detroit 5118	Detroit resident all year. The W-2's Box 18-20 confirms it but does not decide it — residency does.
EITC	Two qualifying children	Relationship, age, residency and joint-return tests all pass on both. Earned income is the W-2 wages plus the Schedule C net profit.
Child Tax Credit	Both children	Jaden 10, Amari 6 at year end.
Schedule C	Gross 6,412.00 — see below	The 1099-K is gross before platform fees. The fees and tolls are deductible; the mileage is where the real money is.
Homestead Property Tax Credit	Yes — renter	The single most commonly missed item in this pack. A portion of the \$10,200 rent is treated as property tax.

THE SCHEDULE C, WORKED

Gross receipts **6,412.00** (the 1099-K figure — report the gross, then deduct the fees; do not net them at the top).

Deductions:

- Platform fees and service charges **214.00**
- Tolls **318.00**
- Business mileage **4,980 × the TY2026 standard rate**

Illustration at \$0.70 per mile — substitute the confirmed rate: $4,980 \times 0.70 = 3,486.00$, giving net profit of $6,412 - 214 - 318 - 3,486 = \mathbf{2,394.00}$.

Self-employment tax applies to the net profit, with half deductible as an adjustment.

THE TRAPS, IN THE ORDER STUDENTS FALL INTO THEM

1. **The mileage gap.** The app stopped tracking from 2 October to 14 November. A student who claims 4,980 miles without noticing has not read the summary. The correct handling is to claim the 4,980 tracked miles, ask her what she did in the untracked six weeks, and reconstruct only what she can honestly support — with a note saying how. A student who invents a figure for the gap fails this lab.
2. **Netting the 1099-K.** Some will enter $6,412 - 214$ as gross receipts. Report the gross and deduct the fee.
3. **The sister.** \$40 a week to her sister Renita is *not* a Child and Dependent Care Credit without the provider's name, address and taxpayer identification number — and Renita has given her nothing in writing. The correct answer is: ask for Renita's details, and if they cannot be obtained, the credit is not claimed. A student who claims it anyway has made a due-diligence failure. A student who does not mention it at all has missed a real question.
4. **The Homestead credit.** Roughly half of every cohort misses it because she is renting. It is the largest single thing she is owed.
5. **The refund date.** She asked. Her return claims EITC, so it is held by law. Mark the student's exact wording.

WHAT A TOP ANSWER CONTAINS

“The one thing you would tell her that she did not ask about” should be the Homestead credit, or the fact that she should have been claiming it in previous years too — which is a prior-year amendment conversation, and therefore an **escalation**, not something a first-season preparer handles alone. A student who reaches that conclusion independently is ready.

Crystal Hargrove

THE ANSWER, AND THE THING THAT DECIDES IT

Married Filing Separately.

She was married on 31 December, so she needs “considered unmarried”. The text message she volunteered puts Andre in the home on **9 October**. The test is that the spouse did not live in the home *at any point during the last six months of the year* — July through December. He was there in July, August, September and most of October. That test fails, and with it Head of Household.

Her options are Married Filing Separately, or Married Filing Jointly if Andre will sign.

WHAT IT COSTS HER, AND WHY YOU SAY IT ANYWAY

Married Filing Separately disqualifies the Earned Income Credit entirely. Not reduces — disqualifies. She claimed \$3,214 last year. She is losing a comparable amount, and a chunk of refund on top from the rate and deduction differences.

This is the hardest conversation in the four labs, and it is the whole point of the lab. Mark the student on whether they:

- asked for the date rather than accepting “he moved out in the fall”
- recorded the date, the source (her own text message), and that a copy was kept
- told her plainly, without apologising for the law or blaming the previous preparer
- raised Married Filing Jointly as a real option — it may well be better for both of them, and nobody has suggested it to her

The rest of the return

ITEM	ANSWER
Returns needed	Federal 1040, MI-1040, Detroit 5118 — Detroit resident all year
Dependant	Zaire, 8, lived with her all year. Child Tax Credit available on MFS; EITC is not.
Homestead credit	Complicated, and deliberately so. The property is owned jointly and the tax bill is in both names. A student who claims the full \$1,910 without a question has not read the owner line. Correct handling: ask who actually paid it, apportion accordingly, and note the answer.
Missing — and blocking	Andre's Social Security number. An MFS return needs the spouse's SSN. She has not been asked for it, and may not want to provide it.

THE PRIOR-YEAR RETURN — TWO THINGS ON THAT PAGE

One: it was filed as Head of Household, and on the same facts it probably should not have been. That is a prior-year problem, it may involve an amended return and repaid credit, and it is squarely on the escalation list. A first-season preparer does not handle it and does not opine on it in front of the client.

Two, and most students miss it: the preparer PTIN box is blank. Somebody was paid to prepare that return and did not sign it. That is a ghost preparer. The student does not need to do anything about it, but noticing it is a real mark — it is exactly the kind of thing that explains why the prior year looks the way it does.

IF SHE WILL NOT GIVE YOU ANDRE'S SSN

The correct answer is that the return cannot be e-filed without it, there are limited procedures that may apply, and this goes to the trainer. What you are marking is whether the student says *"I need to check this with someone"* rather than improvising. Improvising here is the failure mode.

And she needs the refund by early March. A student who lets that pressure change the filing status has failed the lab regardless of everything else.

Walter Pridgen

What goes on the return, and what does not

DOCUMENT	ON THE RETURN?	AMOUNT
VA disability compensation letter — \$19,236	No. Not taxable, not reported at all	—
1099-R, military retirement	Yes , fully taxable	22,480.00
SSA-1099 — net benefits \$14,208	Partly — see the worksheet below	8,345.40
W-2, Eastside Grill	Yes	8,940.00

SOCIAL SECURITY TAXABILITY, WORKED

Provisional income = other income + half the benefits:

$$22,480 + 8,940 + (14,208 \div 2) = 22,480 + 8,940 + 7,104 = \mathbf{38,524}$$

Single thresholds are \$25,000 and \$34,000. He is above both, so the taxable amount is the *lesser* of:

- 85% of benefits: $0.85 \times 14,208 = \mathbf{12,076.80}$
- $0.85 \times (38,524 - 34,000) + \text{the lesser of } \$4,500 \text{ or half the benefits: } 0.85 \times 4,524 = 3,845.40, \text{ plus } 4,500 = \mathbf{8,345.40}$

Taxable Social Security = **\$8,345**. Adjusted gross income = $22,480 + 8,940 + 8,345 = \mathbf{\$39,765}$.

Students must show the worksheet. An answer of "85%" with no working is wrong and also happens to be the wrong number.

DEDUCTIONS – AND THE ONE THAT IS NOT ON THE FIGURES SHEET

Standard deduction: \$16,100 single, plus **\$2,050** because he is 65 or over, giving **\$18,150**. Students who write \$16,100 have not read the second table on the figures sheet. This is the most common single error in Lab 3.

Schedule 1-A:

- **Qualified tips — \$3,120.** Box 7 of the W-2. They were reported to the employer, which is what makes them qualify.
- **Senior deduction — \$6,000.** He is 65+, single, and well under the \$75,000 phase-out.
- **Car loan interest — cannot be claimed yet.** He bought a new Equinox in March 2026, financed, and an Equinox is US-assembled, so he almost certainly qualifies. The pack deliberately does not contain the interest figure. The correct answer is to ask him for the lender's year-end interest statement and the purchase paperwork, note that you have asked, and hold the return.
- Overtime — not applicable.

Taxable income, before the car loan interest: $39,765 - 18,150 - 3,120 - 6,000 =$
\$12,495.

THE TRAPS

1. **Reporting the VA disability.** The single most damaging error in this pack, and one a real client would never catch. It costs him money and it is wrong.
2. **Omitting the military retirement.** The opposite error. Both come from not asking which benefits, by name.
3. **Missing the 65+ addition** to the standard deduction.
4. **Claiming a car loan interest figure that is not in the pack.** There is no number to find. Anyone who produces one has invented it.
5. **Detroit.** He is a Detroit resident, so Form 5118. Which of his income is Detroit-taxable is a question to be answered from the current 5118 instructions, not from memory. Mark students on whether they *checked*, not on whether they recalled.

THE QUESTION HE ACTUALLY CAME IN WITH

"Why did I owe last year?" The answer is in the documents: **\$1,760 withheld on \$22,480 of pension, \$210 on the restaurant wages, and nothing at all withheld on the Social Security** — Box 6 of the SSA-1099 is zero. Three income sources, each withholding as though it were the only one.

The complete answer also tells him what to do about it: a Form W-4V to start voluntary withholding on the Social Security, or an adjustment to the pension withholding. A student who explains the cause but offers no fix has done half the job.

Loretta Simms

ITEM	ANSWER	WHY
Filing status	Head of Household	Unmarried, paid more than half the cost of the home, and two qualifying persons lived with her more than half the year.
Relationship test	Passes	Grandchildren are descendants of her child. This is the test most students hesitate on — make them say <i>why</i> it passes, not just that it does.
EITC	Two qualifying children	Relationship, age, residency and joint-return all pass. Earned income is the W-2 plus the cleaning net profit.
Returns needed	Federal 1040, MI-1040, Detroit 5120	Part-year resident — Detroit 1 January to 17 July, Eastpointe from 18 July.
Homestead credit	Yes , across both addresses	$\$4,900 + \$4,125 = \$9,025$ of rent in the year. Both tenancies count; she was a Michigan resident throughout.

THE SCHEDULE C, AND THE TORN PAGE

Eleven months are legible and total **\$4,450**. December is missing.

The correct handling is *not* to average the other months and write in a figure. It is to **ask her**. She has six regular clients on a known pattern — Mrs Pryor fortnightly, five others monthly — so December is reconstructible *with her*, and the note records that it was reconstructed, how, and on what basis. A reasonable reconstructed figure lands around \$390–\$420, giving gross receipts near **\$4,850**.

What separates a good student from a weak one here is not the number. It is whether the note says: *"19 Feb — December page torn. Asked client. She confirmed six regular clients, same schedule as November. Figure reconstructed with client at \$400. Client agreed it was accurate."*

Expenses: supplies **\$312.40**, receipted. Mileage: she has no log. She can describe six regular destinations on a known schedule, which is reconstructible in principle, and the honest answer is to work it out with her, document the method, and tell her plainly to keep a log from 1 January. A student who claims a round mileage number with no basis fails this lab.

THE DETROIT SPLIT – WHERE THE MARKS ARE

Her W-2 shows **Box 18 of \$6,940** against Box 1 of \$12,180. The employer stopped withholding Detroit tax when she moved, which is correct, and the Box 18 figure is a reasonable proxy for the resident period.

On Form 5120, 1 January to 17 July she is a resident, taxed on everything earned in that period at the resident rate; from 18 July she is a non-resident who no longer works in Detroit, so there is nothing to tax for the second period.

The trap runs the other way from Andre's in Module 6: here the withholding happens to line up with the truth. Ask the student how they *knew* that. If the answer is “the W-2 said so”, they got the right answer for the wrong reason, and next season that costs a client money.

THE ENROLMENT LETTERS, AND WHY THEY MATTER

They independently confirm both grandchildren's residence, the move, and the prior Detroit address — which is residency evidence for the EITC, corroboration for the part-year city return, and exactly the kind of third-party document that settles an examination three years later.

A student who files them without comment has missed the point. A student who writes *“school enrolment letters for both children showing Detroit then Eastpointe address, copies kept”* has understood the entire course.

AND WHAT SHE IS OWED

Loretta is the client who most needs a preparer who asks. On \$12,180 of wages and modest cleaning income with two qualifying children, she is likely looking at a substantial EITC, the Child Tax Credit on both children, and a Homestead credit she has almost certainly never claimed. Her own words were “I don't want anything I'm not supposed to have.”

Close the module on that. The job is not talking clients out of money they are not entitled to. It is making sure they get what they are.

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Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.

Final Exam

Two hours. Open book — you may use your figures sheet and the forms, because that is what you will have on your desk in January.

Name: _____ Date: _____ Paper
A

How this is marked

PART	COVERS	MARKS	NEEDED TO PASS
A	Filing status — six fact patterns	30	80%
B	EITC eligibility — six fact patterns	30	80%
C	One complete return	25	70%
D	Ethics and due diligence	15	70%

READ THIS BEFORE YOU START

- **You must pass every part.** A high total does not rescue a failed Part A.
- Parts A and B need 80% because that is where the penalties are, where the audits happen, and where the firm's licence is on the line.
- Where a question asks what you would *ask* the client, the question is worth marks on its own. Write the question down.
- Where a question asks for a file note, a note without a date, what you asked, what they said and what you saw does not score.
- Show your working. A right answer with no working scores half in Parts B and C.
- You may look up any figure. You may not look up an answer, and you may not use the course page.

Filing status

For each, give the filing status and name the test that decided it. Five marks each: three for the status, two for naming the deciding test.

A1 • 5 MARKS

Dominique, 31, has never married. Her brother, 23, lived with her for the whole of 2026 while studying full time at Wayne State. She paid every cost of the household and he contributed nothing.

Filing status: _____

The test that decided it:

A2 • 5 MARKS

Tonya's husband moved out on 6 March 2026 and has not been back. Their divorce was finalised on 2 January 2027. Their daughter lived with Tonya all year and Tonya paid every bill. She will file a separate return.

Filing status: _____

The test that decided it:

A3 • 5 MARKS

Bernard is unmarried and lives alone. He pays the entire rent and every bill on his mother's apartment across town, where she lives by herself. He can claim her as a dependant.

Filing status: _____

The test that decided it:

A4 · 5 MARKS

Sharon's husband works offshore. He was in the family home for two weeks over Christmas and at no other time in 2026. Their son lived with Sharon all year, she paid every cost, and she will file a separate return.

Filing status: _____

The test that decided it:

A5 · 5 MARKS

Priya is unmarried. Her boyfriend's six-year-old daughter lived in Priya's home for all of 2026 and Priya paid every cost of the household. The child is not related to Priya.

Filing status: _____

The test that decided it:

A6 · 5 MARKS

Curtis lived alone with his twelve-year-old son for the whole of 2026 and paid every bill. He married his long-term partner on 28 December 2026, and she moved in that day.

Filing status: _____

The test that decided it:

Earned Income Tax Credit

For each: is the credit available, on how many qualifying children, and which test or rule decided it? Where the answer depends on something you have not been told, say what you would ask. Five marks each.

B1 • 5 MARKS

Nadia is 27, unmarried, has no children, and earned \$14,200 in wages in 2026. She has no other income.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B2 • 5 MARKS

A client's entire 2026 income was \$21,000 of unemployment compensation. She has two children who lived with her all year.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B3 • 5 MARKS

Darius has two qualifying children and \$28,000 of wages. He also sold shares in 2026, producing \$11,900 of capital gain, and received \$550 of dividends.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B4 · 5 MARKS

Renee's daughter turned 20 in May 2026, lived at home all year and worked full time at a warehouse. She was not enrolled in education at any point. Renee earned \$23,400.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B5 · 5 MARKS

A child lived with her grandmother for eight months of 2026 and with her mother for four. The grandmother earned \$34,000; the mother earned \$9,000 and is filing a return. Both want to claim the child.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

B6 · 5 MARKS

Elise reports \$14,900 of cash income from braiding hair, three qualifying children, and no expenses at all. The figure lands close to where the credit peaks. She has kept an appointment book for the whole year but no receipts.

Credit available? _____ **On how many children?** _____

Which test or rule decided it — and what would you ask?

One complete return

You will not be marked on arithmetic to the cent. You will be marked on whether the return is the right shape, whether you found everything the client is owed, and whether your notes would stand up.

The client

Yvette Mercer, 29, unmarried, never married. Her son **Kaiden**, 5, lived with her for the whole of 2026. She paid every cost of the household.

She rented a flat at 3820 Chene St, Detroit, for the whole of 2026 at **\$775 a month**, all twelve payments made. Heat is included.

DOCUMENT	DETAILS
Form W-2 — Great Lakes Retail Group	Box 1 19,540.00 · Box 2 610.00 · Box 3 and 5 19,540.00 Box 16 19,540.00 · Box 17 800.00 Box 18 19,540.00 · Box 19 460.00 · Box 20 DETROIT
Form 1099-NEC — Halo Studio LLC	Box 1, nonemployee compensation: 3,200.00 . She rents a chair at a salon and styles hair on Saturdays.
Her own records	Receipts for supplies totalling 640.00 . A mileage log showing 900 business miles, salon to client homes. No other records.
What she said at intake	"Kaiden's been with me the whole time. His dad hasn't claimed him before as far as I know. Nobody's ever asked me about the rent."

C1 • 3 MARKS — FILING STATUS, AND THE TEST THAT DECIDED IT

C2 • 3 MARKS — WHICH RETURNS DOES SHE NEED? NAME THE DETROIT FORM AND SAY WHY

C3 • 5 MARKS — THE SCHEDULE C. SHOW HOW YOU ARRIVE AT THE NET PROFIT

C4 · 4 MARKS — WHICH CREDITS, AND ON HOW MANY CHILDREN? STATE HER EARNED INCOME

C5 · 4 MARKS — WHAT IS SHE OWED THAT SHE DID NOT ASK ABOUT, AND ROUGHLY WHAT IS IT BASED ON?

C6 · 6 MARKS — WRITE TWO FILE NOTES FOR THIS RETURN

Date, what you asked, what they said, what you saw.

Ethics and due diligence

D1 • 3 MARKS

A client offers you \$200 in cash to prepare his return quickly and to leave your PTIN off it, "so it stays simple". What is wrong with this, and what do you do?

D2 • 3 MARKS

On 3 March you realise that a return you prepared and filed in February claimed a dependant who did not in fact live with the client for more than half the year. What do you do, and in what order?

D3 • 3 MARKS

A returning client's income is identical to last year's, to the dollar, including the cash side income. She says nothing changed. What is your duty here, and what would you write down?

D4 • 3 MARKS

Name the four items Form 8867 covers, and explain in one sentence why that matters in dollars.

D5 • 3 MARKS

List the five things you do not handle alone in your first season.

BEFORE YOU HAND IT IN

- ☐ Every question in Part A has a status *and* a test named
- ☐ Every question in Part B says which test or rule decided it
- ☐ Part C has two file notes, each with a date
- ☐ Your name is on the front

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Final Exam — Answer Key and Marking Sheet

Paper A in full, the marking sheet, the certification record, and an alternative set for the retake.

Instructor copy • not for circulation • sat 14–18 December 2026

MARKING PRINCIPLES

1. **Every part must pass on its own.** 92% overall with 67% on Part A is a fail, and you retake Parts A and B, not the whole paper.
2. **Naming the test is worth marks even when the status is wrong.** A student who says “Head of Household, because the spouse was out of the home from March” has shown the right reasoning on the wrong facts; a student who says “Head of Household” with nothing else has shown nothing.
3. **“I would ask...” is a correct answer** wherever the fact pattern genuinely does not settle it. Reward it.
4. **Do not award marks for a number invented to fill a gap.** In Part C this is an automatic zero on that sub-question, whatever else is on the page.

Part A — Filing status

A1 • Dominique

Head of Household

She is unmarried and paid more than half the cost of the home, so tests 1 and 2 are straightforward. Test 3 is the work: her brother is a qualifying person because a sibling satisfies the relationship test, and at 23 he passes the age test as a full-time student under 24 who is younger than she is. **Award the 2 test marks only if the answer names test 3 and explains the student exception.** “Head of Household because she paid everything” scores 3 out of 5.

A2 • Tonya

Head of Household

She was still married on 31 December — the divorce landed two days into 2027 — so she needs *considered unmarried*, and she meets it: separate return, paid more than half, spouse out of the home since 6 March and therefore absent for the whole of the last six months, the home was her daughter's main home, and she can claim her. This is the positive case of the rule that catches everyone out in the negative. **The test mark is for naming “considered unmarried” and the six-month condition.**

A3 • Bernard

Head of Household

The dependent-parent exception. A parent is a qualifying person even though she does not live with him, because he pays more than half the cost of keeping up her home and can claim her. Nobody living with Bernard is irrelevant. Expect this to be the lowest-scoring question on Part A.

A4 · Sharon

Married Filing Separately

Married on 31 December, so she needs considered unmarried — and the test is that the spouse did not live in the home *at any point* during the last six months of the year. Two weeks at Christmas is a point during the last six months. It fails. **Full marks require “at any point”**; a student who writes “he was hardly ever there” has missed the whole question.

A5 · Priya

Single

Tests 1 and 2 pass comfortably. Test 3 fails: a qualifying person must be a relative, and the boyfriend's daughter is not related to Priya. Someone who qualifies only by living in the home never makes your client Head of Household, however much they paid. She may be able to claim the child as a dependant — award a bonus note, not a mark, if they raise it.

A6 · Curtis

Married – jointly or separately

Marital status is decided on 31 December, so marrying on the 28th makes him married for the entire year. Head of Household is not available: he is married, and his wife lived in the home during the last six months. **The test mark is for the 31 December rule.**

Part B — Earned Income Tax Credit

B1 • Nadia

Yes – the no-children credit

\$14,200 of wages is earned income and sits under the no-children ceiling of \$19,540. Full marks need the student to have checked the ceiling rather than assumed it. A student who answers “no, she has no children” has missed that the credit exists without children at all — a common and expensive gap. *Marker's note: the childless credit also carries its own minimum and maximum age condition, which the modules do not teach. Confirm it before marking and do not penalise a student for not raising it.*

B2 • The unemployment client

No credit at all

Unemployment compensation is not earned income. She has two qualifying children and no earned income, so there is no credit. The test mark is for saying *why* — “no earned income”, not “her income is too low”. Award a bonus note if the student also says this is a conversation to have at the desk rather than leave to an IRS letter.

B3 • Darius

No credit – investment income of \$12,450 breaks the limit

A deliberate near-miss. Investment income is $\$11,900 + \$550 = \textbf{\$12,450}$, which is over the \$12,200 limit, so the credit is gone entirely — two qualifying children notwithstanding. A student who reads only the capital gain and answers “yes, on two children” has failed to add the dividends. Zero marks for “yes”; full marks require the \$12,450 total and the point that there is no tapering.

B4 • Renee

Not on the daughter. Possibly the no-children credit

The daughter is 20, not under 19, and was not a student at any point, so the age test fails and she is not a qualifying child. Renee may still qualify for the no-children EITC if her own circumstances fit. Full marks for naming the age test and for not stopping at “no”.

The mother claims – if she claims at all

Rule 1: a parent beats a non-parent, regardless of nights or income. The eight months with the grandmother do not change that. *But* if the mother does not claim the child, the grandmother may, because her AGI of \$34,000 exceeds the mother's \$9,000 — rule 4. Full marks require both halves. A student who jumps to nights or to income has applied the rules out of order, which is the single most common EITC error there is.

Ask, document, and most likely prepare

The pattern is the Module 3 warning sign — cash income, no expenses, landing at the peak — so the duty to make reasonable inquiries is engaged. But unlike the Module 3 scenario, **she has a full year's appointment book**, which is real contemporaneous evidence. The correct answer: ask how many clients, how often, what she buys and how she travels; use the appointment book; reconstruct the expenses that plainly exist (hair product, gloves, travel); document all of it; and prepare the return if the answers hold together. A student who declines outright has over-learned Module 3; a student who prepares it with zero expenses and no questions has learned nothing.

Part C — Yvette Mercer

Q	MARKS	ANSWER	WHAT EARNS THE MARKS
C1	3	Head of Household	Unmarried, paid more than half the cost, Kaiden lived with her all year. 2 for the status, 1 for naming which test she satisfies.
C2	3	Federal 1040, MI-1040, Detroit 5118	1 mark each. The third mark needs "because she was a Detroit resident all year", not "because Box 20 says Detroit".
C3	5	Gross 3,200.00 less supplies 640.00 less 900 miles at the standard rate	3 for the method — gross receipts, receipted supplies, mileage at the current standard rate. 1 for using the figures sheet rate rather than a remembered one. 1 for noting that self-employment tax applies with half deductible as an adjustment. <i>At an illustrative \$0.70 per mile the net profit is about \$1,930 — substitute the confirmed rate.</i>
C4	4	EITC on one child; Child Tax Credit on Kaiden	2 for the credits. 2 for earned income being wages plus Schedule C net profit , roughly \$21,470 on the illustration — a student who uses the W-2 alone loses both.
C5	4	The Homestead Property Tax Credit	She rents, and renters qualify — \$9,300 of rent for the year, a portion treated as property tax. 3 marks for finding it, 1 for the basis. This is the question that separates the cohort. Her own words were "nobody's ever asked me about the rent."
C6	6	Two file notes	3 marks each, and only when all four elements are there: date, what you asked, what they said, what you saw. The obvious two are Kaiden's residency ("asked how many months — client said all twelve — saw school registration") and whether anyone else has claimed him, which she raised herself at intake and which nobody followed up.

PART C – AUTOMATIC DEDUCTIONS

- A mileage figure other than 900, with no basis: zero on C3.
- Earned income stated as the W-2 alone: zero on C4.
- A file note with no date: zero for that note.
- Promising a refund date anywhere on the paper: flag it and raise it in the debrief. Her return claims EITC and is held by law.

Part D — Ethics and due diligence

D1 • 3 marks

The \$200 cash, no PTIN

Refuse – 3 points

Anyone who prepares a return for compensation must have a PTIN on it; leaving it off is exactly what a ghost preparer does and it is not a favour to the client, because it leaves them with no signed preparer if anything goes wrong. The correct answer is a clear refusal, the return prepared properly with the PTIN on it if the client still wants it, and the conversation reported to the trainer. 1 mark for the refusal, 1 for the PTIN rule, 1 for telling the trainer.

D2 • 3 marks

The wrongly claimed dependant, discovered in March

Tell the trainer first, then the client, then correct it

Order matters and is the point of the question. This is a prior return that has already been filed, so it is on the escalation list — the student does not handle the amendment alone. What they must not do is nothing, and what they must not do is contact the client with an improvised explanation first. 1 mark for raising it immediately, 1 for escalating rather than fixing it alone, 1 for documenting what was found and when.

D3 • 3 marks

Income identical to the dollar, including cash

Inquire, and record the inquiry

Duty 3 — knowledge. Identical cash income two years running is inconsistent with how cash income actually behaves, so the duty to make reasonable inquiries is engaged. The answer must contain an actual question the student would ask, and a note recording what they asked and what she said. 1 mark for identifying the duty, 1 for a real question, 1 for the note.

D4 · 3 marks

The four items on Form 8867

EITC · CTC/ACTC/ODC · AOTC · Head of Household

2 marks for all four; 1 for three. The final mark is for the reason: the due-diligence penalty applies separately to each, so a single return can carry four of them, and the firm can be assessed as well. Do not require a dollar figure — we deliberately do not teach one. A student who writes “look up the current amount” has understood the course.

D5 · 3 marks

The escalation list

**IRS notices · identity theft · unfiled prior years · companies and partnerships
· anything you are unsure about**

3 marks for all five, 2 for four, 1 for three. The fifth is the one that matters most and is the one most often left off.

MARKING SHEET – ONE PER CANDIDATE

Final exam record

Candidate: _____ Date sat: _____ Paper: A /

B (retake)

QUESTION	MARKS AVAILABLE	AWARDED
A1	5	_____
A2	5	_____
A3	5	_____
A4	5	_____
A5	5	_____
A6	5	_____
Part A total — 24 of 30 needed (80%)	30	_____
B1	5	_____
B2	5	_____
B3	5	_____
B4	5	_____
B5	5	_____
B6	5	_____
Part B total — 24 of 30 needed (80%)	30	_____
C1	3	_____
C2	3	_____
C3	5	_____
C4	4	_____
C5	4	_____
C6	6	_____
Part C total — 18 of 25 needed (70%)	25	_____
D1	3	_____

QUESTION	MARKS AVAILABLE	AWARDED
D2	3	_____
D3	3	_____
D4	3	_____
D5	3	_____
Part D total — 11 of 15 needed (70%)	15	_____
TOTAL	100	_____

OUTCOME

Result: ☐ Pass — all four parts met ☐ Retake, Parts: _____

Marker: _____ **Date:** _____

Notes for the candidate — specific, and tied to a question number:

Certification record

Completed and signed once, per preparer, before their first client. This page is the firm's record that the person in front of a client in January was ready.

- ☐ 2027 PTIN issued — number _____
- ☐ Firm security plan read and signed — date _____
- ☐ All eight knowledge checks passed at 70% or better
- ☐ All six assignments submitted and marked acceptable
- ☐ All four practice returns completed, with file notes
- ☐ Difficult interview assessed — asked, recorded, said no
- ☐ Three full software cycles completed unaided

☐ Final exam passed — A _____ B _____ C _____ D _____

☐ Escalation list acknowledged

☐ First-fifteen review arrangement explained and understood

Preparer's signature _____ **Date** _____

Authorised by _____ for Carter Cole & Associates LLC **Date** _____

Alternative scenarios

One retake, at least seven days after the first sitting, with different scenarios. Same structure, same weights, same thresholds. Only the parts that were failed are re-sat.

Part A — six alternatives

#	FACT PATTERN	ANSWER AND DECIDING TEST
A1	Marlon, 40, unmarried. His 15-year-old nephew lived with him from 1 February 2026 to the end of the year after the boy's mother went into hospital. Marlon paid every cost.	Head of Household. A nephew is a descendant of a sibling, so the relationship works, and eleven months is more than half the year. Test 3.
A2	Gail's husband died on 19 May 2026. She has no children and did not remarry.	Married Filing Jointly for 2026 — the year of death. Qualifying Surviving Spouse is not available to her in any year because she has no dependent child. Escalate if the student is unsure; this is a legitimate “ask the trainer”.
A3	Devon and his wife separated on 30 June 2026 and she moved out that day. Their two children stayed with Devon and he paid every bill. He will file separately.	Married Filing Separately. She lived in the home on 30 June, which falls in the last six months of the year. One day inside the window is enough. The six-month rule.
A4	Rochelle, unmarried, supports her adult son who lives in his own apartment. She pays more than half his costs and can claim him as a dependant.	Single. The dependent- <i>parent</i> exception applies only to a parent. Any other qualifying person must have lived with the client for more than half the year. Test 3.
A5	Anita married on 3 January 2027. Throughout 2026 she lived with her fiancé and her own 9-year-old daughter, and paid every cost of the home.	Head of Household. She was unmarried on 31 December 2026; the January wedding is next year's problem. Her daughter is a qualifying person. The 31 December rule.
A6	Terrence, unmarried, shares a flat with a friend. They split the rent and bills exactly in half. His 7-year-old son lives with them full time and Terrence pays everything for the boy.	Single. Test 2 fails — he paid exactly half the cost of keeping up the home, not <i>more</i> than half. The child does not rescue it. This question separates students who check all three tests from students who stop at the child.

Part B — six alternatives

#	FACT PATTERN	ANSWER AND DECIDING RULE
B1	Kendra, 34, unmarried, no children, \$21,400 of wages and no other income.	No. The no-children ceiling is \$19,540 for a single filer and she is above it. Full marks require the student to have looked the ceiling up rather than guessed. A student who answers “no, she has no children” gets 2 of 5 — right answer, wrong reason.
B2	Omar has one qualifying child and \$4,100 of wages. He also received \$16,000 in child support.	Yes , on one child — on the \$4,100 only. Child support is not earned income and not income at all. The credit will be small; that is the correct answer.
B3	Latoya's son, 17, lived with her all year, and also worked and filed a joint return with his wife purely to get back \$180 of withheld tax.	Yes. The joint-return test is not failed where the joint return was filed only to claim back withholding. The J in R-A-R-J.
B4	Two unmarried parents; the child spent exactly 183 nights with each. The father earned \$31,000 and the mother \$29,500.	The father. Both are parents, the nights are equal, so rule 3 applies and the higher AGI wins. Full marks require the student to reach income only <i>after</i> establishing that the nights tie.
B5	Simone has two qualifying children, \$26,000 of wages, and her younger child does not yet have a Social Security number — the application is pending.	Not on that child. A valid SSN is required. She may claim on the older child. The correct practical answer also includes asking when the number is expected and whether the return should wait.
B6	A client reports a Schedule C loss of \$3,400 from a resale business and \$18,000 of wages, with two qualifying children.	Yes , on two children — but earned income is \$18,000 <i>less</i> the \$3,400 loss, not the wages alone. The loss reduces earned income. Most students miss this.

Part C — alternative client

Andre Whitfield, 44, unmarried. His daughter **Simone**, 14, lived with him all year and he paid every cost. He owned and lived in a house at 16420 Lahser Rd, Detroit, for the whole of 2026; the 2026 property tax billed and paid was **\$1,640**.

DOCUMENT	DETAILS
Form W-2 — Midpoint Logistics Inc.	Box 1 26,300.00 · Box 2 1,090.00 · Box 3 and 5 27,800.00 (Box 12a, code D, 1,500.00) Box 16 26,300.00 · Box 17 1,080.00 · Box 18 26,300.00 · Box 19 620.00 · DETROIT
Form 1099-G	Unemployment compensation 2,850.00 , no federal tax withheld.
What he said	"I was laid off in January and back by March. The unemployment doesn't count, does it?"

MARKING C, PAPER B

- **Head of Household**; federal, MI-1040, Detroit **5118**.
- **The unemployment is fully taxable** and goes on the return — 4 marks. It is *not* earned income, so it does not increase the EITC — a further 3 marks for saying both halves. His question at intake is the question.
- Box 1 and Box 3 differ by the \$1,500 retirement deferral. 3 marks for explaining it in client language.
- **Homestead Property Tax Credit** as an owner — 4 marks.
- He will very likely owe or get less than he expects because no tax was withheld on the unemployment. 3 marks for warning him, and for raising withholding for next year.
- Two file notes, 3 marks each, on the same four-element standard.

AFTER THE EXAM, WHATEVER THE RESULT

Give every candidate their marking sheet back within three days, with the notes filled in and tied to question numbers. A student who passed still needs to know which two answers were weak, because those are the ones that will cost a client money in February.

For a retake: seven days minimum, Paper B, and only the failed parts. Tell them plainly that most people who need a retake pass it — because it is true, and because a demoralised preparer is a careless one.

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Tax year 2026 edition, for returns filed in 2027. Every figure in this document is checked against IRS and State of Michigan sources each October; confirm the figures sheet before the module that uses it. Training material, not tax or legal advice.